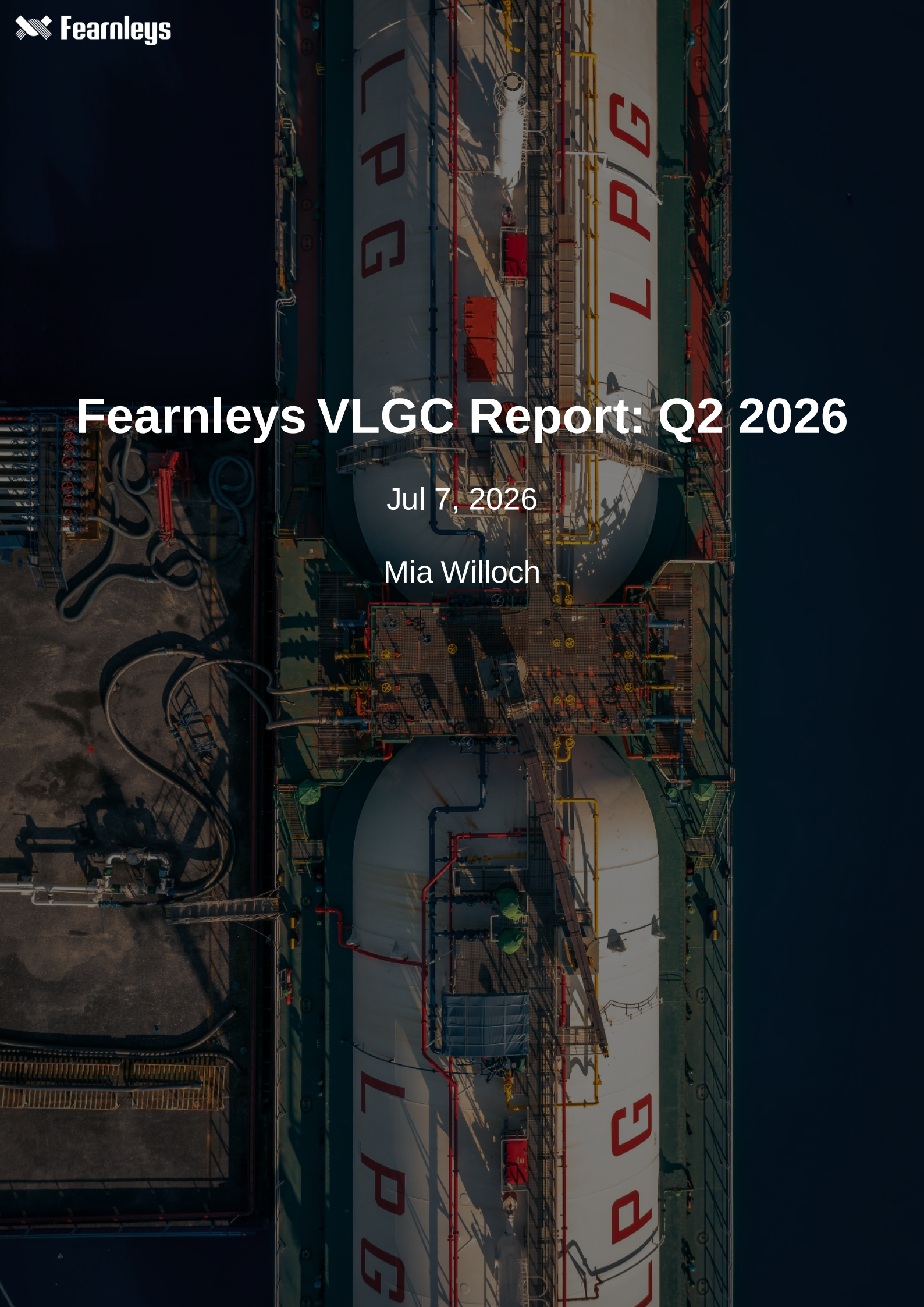




Fearnleys VLGC Report: Q2 2026

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From Disruption to Adaptation

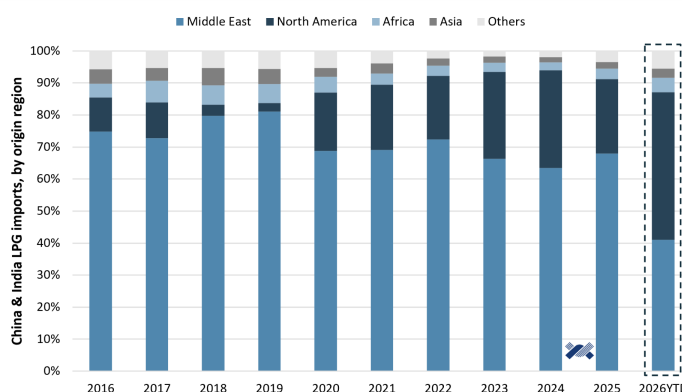
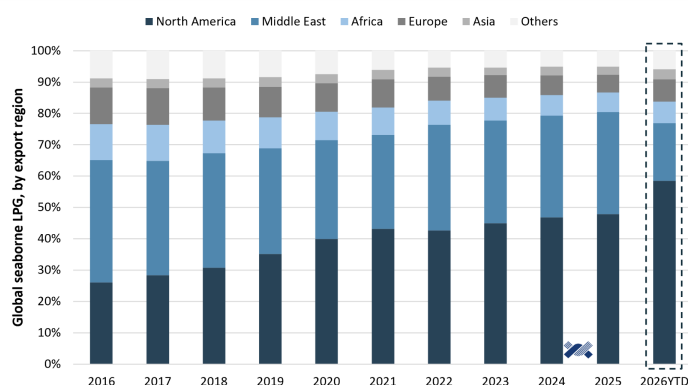
The key takeaway for the LPG shipping market at the end of the second quarter is that global LPG trade did not collapse despite the operational closure of the Strait of Hormuz (SOH). Initial market reactions and expectations were arguably more severe than what ultimately materialized. Once again, the LPG market has demonstrated its remarkable resilience and adaptability during a period of significant disruption.

While the closure of the SOH initially raised concerns about a prolonged supply crisis, the second quarter highlighted the flexibility of the global LPG market. Replacement barrels from North America entered the market rapidly, allowing global VLGC liftings to recover much faster than many market participants had anticipated. With the Middle East accounting for more than 30% of global seaborne LPG exports, a sustained disruption to regional supply was expected to have far-reaching consequences should the closure persist.

At the start, few expected the disruption to last as long as it ultimately has. The market's initial view was that the impact on global energy flows was simply too significant for an extended closure to be feasible. However, three months after the conflict began, the LPG market has performed surprisingly well, demonstrating a level of resilience that exceeded most expectations.

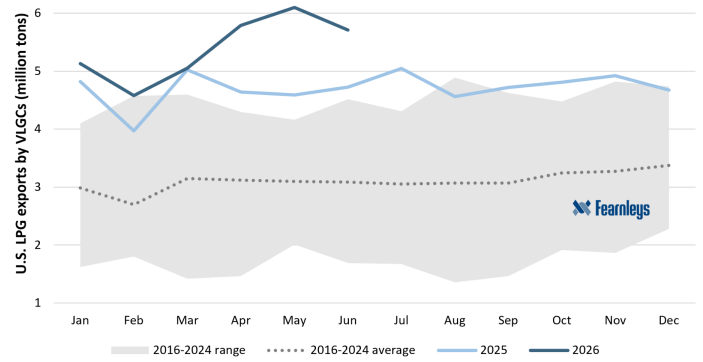
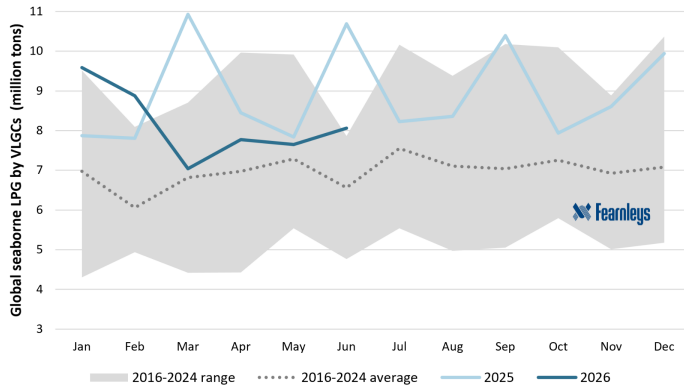
North America, and especially the United States, stepped in to fill part of the supply gap, substantially increasing exports throughout the quarter. Coincidentally, but fortunately for the market, Enterprise's latest export terminal expansion came online in early April, enabling additional volumes to reach international markets at a time when they were most needed. As a result, North America now accounts for nearly 60% of global seaborne LPG exports, while the Middle East's share has declined to approximately 20%.

As illustrated in the chart on the right, China and India have been the countries most affected by the supply shock and have aggressively sourced replacement LPG barrels from North America. During the first half of 2026, North America accounted for 44% of their combined LPG imports, while the Middle East's share fell to 43%, down from 70% in 2025. This represents one of the most significant shifts in global LPG trade patterns observed in recent years.



As expected, global seaborne LPG volumes experienced an initial decline at the start of the second quarter, reflecting the immediate disruption caused by the closure of the SOH. However, as the market increasingly recognized that the supply shock would be more prolonged than first anticipated, the VLGC fleet underwent a large-scale repositioning towards the West, where growing U.S. LPG availability offered an alternative source of supply.

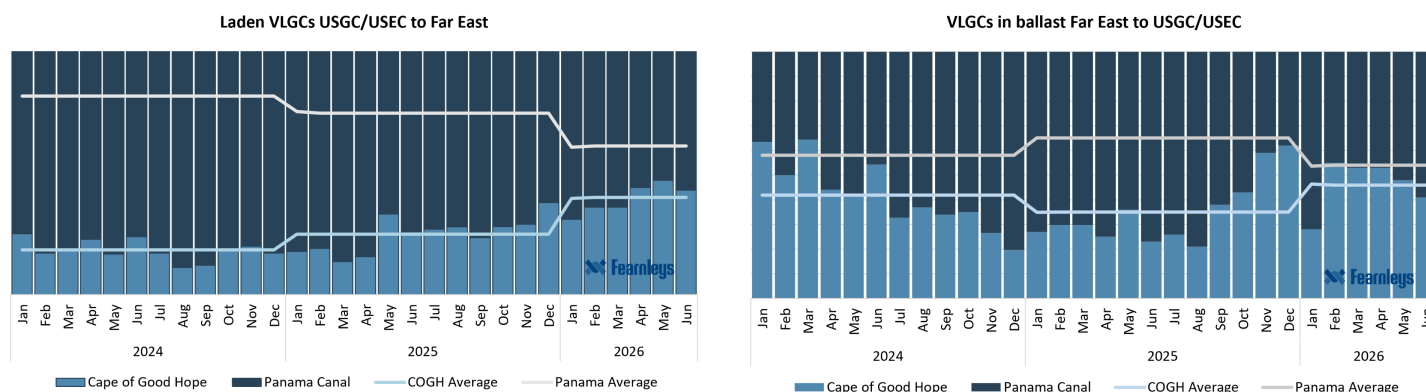
Volumes rebounded towards the end of the quarter, supported by a sharp increase in U.S. exports. In May, U.S. VLGC liftings reached a record 6 million tonnes, highlighting the country's growing importance in the global LPG trade. The quarter ultimately demonstrated that the United States is capable of serving as the market's marginal supplier during major geopolitical disruptions, helping to stabilize global LPG flows when traditional supply sources come under pressure.



Since reaching an all-time high of \$728.5 on March 19 following attacks on Middle East Gulf energy infrastructure, the East-West arbitrage gradually narrowed as supply chains adapted and product markets stabilized. Although BLPG1 continued to be assessed by the Baltic Index throughout the quarter, the index remained largely theoretical due to the limited volume of Middle Eastern export activity. In contrast, BLPG3 climbed to a record \$325.8 per metric tonne on May 26, driven by exceptional U.S. export volumes and Panama Canal auction fees reaching historic levels once again. On a TCE basis, earnings peaked at \$202,340 per day, exceeding the previous high recorded in September 2023 by \$50,000 per day. Across the three indexes, the average for the quarter was \$139,800 per day - making it the highest on record (though somewhat inflated as the publication of BLPG1 has been turbulent). The quarter demonstrated that freight strength was not solely a result of supply disruptions. Record U.S. exports, longer-haul trading patterns, and increasing inefficiencies all contributed to tightening effective fleet supply. Towards quarter-end, however, falling product prices in both the U.S. and Asia reduced arbitrage economics, resulting in a noticeable narrowing of the spread during June.

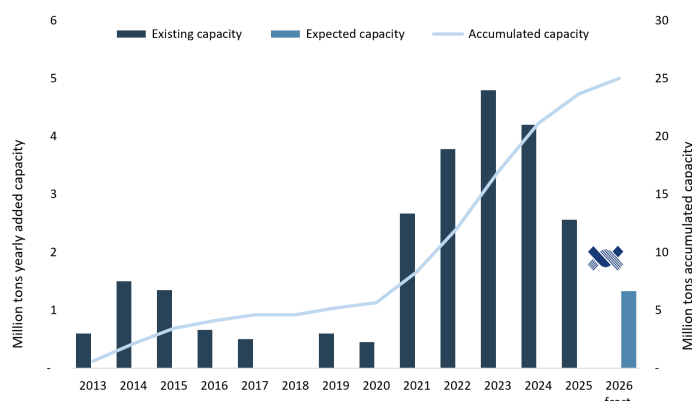
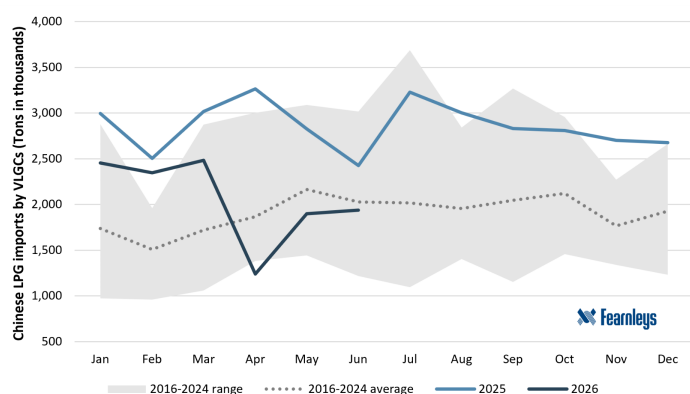


The increase in U.S.-Far East trade has significantly boosted tonne-mile demand, effectively absorbing a large portion of available fleet capacity. As pressure on the Panama Canal intensified, a growing share of laden VLGCs opted for the longer voyage via Cape of Good Hope (COGH), further extending voyage durations and reducing effective vessel availability. This tightening of fleet supply has helped support earnings at elevated levels throughout the quarter, despite freight rates moderating from the exceptional peaks recorded earlier in the year. While those peak levels proved difficult to sustain, vessel availability has remained constrained enough to underpin a relatively strong freight market. Nevertheless, the sharp increase in freight costs ultimately weighed on cargo economics, resulting in a number of U.S. cargo cancellations for July liftings.



The share of laden VLGCs opting for the COGH route has increased significantly, rising from an average of 25% in 2025 to 40% so far in 2026. Similarly, the share of vessels ballasting from the Far East back to the US Gulf and East Coast has increased from 25% in 2025 to 46% in 2026.

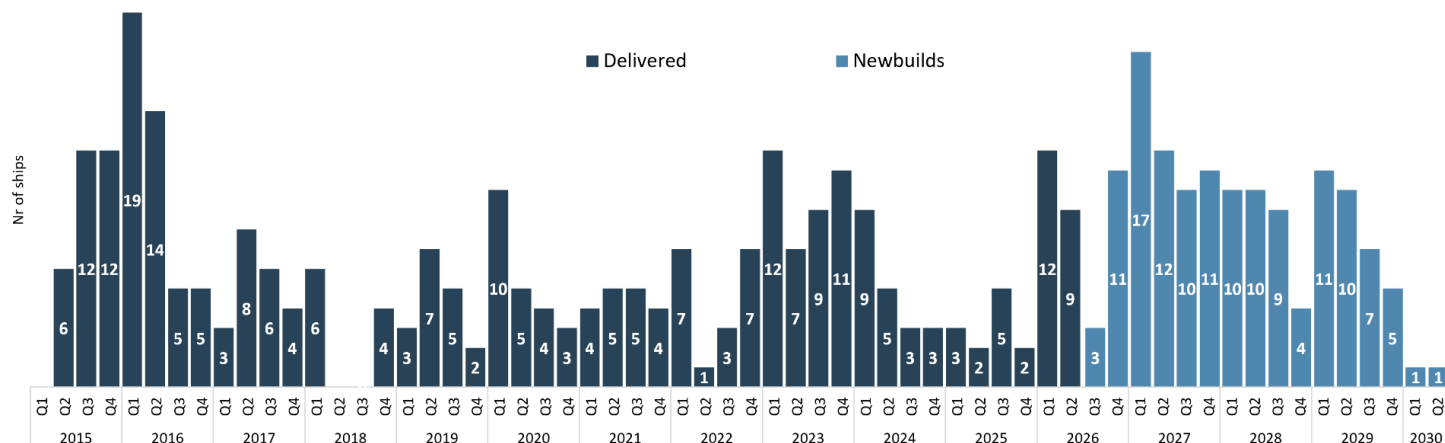
This development highlights an increasingly important structural feature of the VLGC market: sailing patterns are becoming a key determinant of effective fleet supply. Looking ahead, concerns surrounding Panama Canal transit availability may re-emerge with the anticipated return of El Niño conditions, although the Panama Canal Authority currently expects any material impact to occur no earlier than the beginning of 2027. In addition, the continuation of the Long-Term Slot Allocation (LoTSA) system will consume a large share of available transit capacity. As a result, we expect an increasing proportion of VLGCs to rely on the Cape of Good Hope route, supporting tonne-mile demand and reducing effective fleet availability over the medium term.



As expected, Chinese LPG imports declined sharply in April as a direct consequence of the supply shock. During this period, operating rates at the country's propane dehydrogenation (PDH) plants fell from 62% to 42%, prompting many operators to accelerate planned maintenance amid uncertainty surrounding feedstock availability. As the market gradually adjusted and trade flows from North America increased, import volumes began to recover. Imports rebounded in May, although they remained below historical norms, before strengthening further in June. The recovery was supported by PDH operating rates rising to 66%, alongside lower propane import costs, which improved production economics and encouraged the return of demand.

Despite the gradual recovery, Chinese LPG imports during the first half of 2026 were still down 27% year-on-year. Looking ahead, we expect imports to continue recovering throughout the second half of the year, albeit at a measured pace. According to SCI, total Chinese LPG imports for 2026 are projected to finish approximately 16% below 2025 levels (landing at approx. 31 million tons).

As newbuild deliveries are absorbed, ordering momentum continues



A total of nine VLGC newbuilds were delivered during the second quarter, bringing total deliveries in 2026 to 21 vessels. Another 14 are scheduled for delivery in the second half of the year, mostly in the last quarter. The global VLGC fleet now comprises 433 ships, while the orderbook has expanded to 133 vessels, resulting in an orderbook-to-fleet ratio of 31%. The ratio has seen a 6% increase in Q2, as newbuild contracting has continued. Year-to-date, 44 VLGCs have been ordered, compared to 14 vessels during the entirety of 2025, equivalent to a 214% increase.

The resurgence in ordering activity reflects growing confidence in the long-term outlook for the LPG market. Despite the geopolitical disruptions experienced throughout the first half of the year, global LPG trade has once again demonstrated its resilience and ability to adapt to changing market conditions. Continued growth in U.S. production, expanding export infrastructure, and expectations of rising global LPG consumption have reinforced owners' confidence in the sector's long-term fundamentals. However, while these developments support a constructive outlook, the rapidly expanding orderbook also highlights the importance of continued trade growth and tonne-mile demand to absorb the significant fleet additions scheduled from 2027 onwards.

What could lie ahead in 2H of 2026?

Perhaps the single most important variable for the second half of the year will be developments surrounding the SOH and ongoing negotiations between the United States and Iran. While the signing of a memorandum of understanding has improved market sentiment and increased expectations of a gradual reopening, a signed agreement should not be confused with an immediate return to normality. The recovery of Middle Eastern LPG trade is likely to be a multi-month process rather than a single event.

Despite increasing optimism, a complete and physical reopening will require owners, charterers and insurers to regain confidence in the region. While Middle East Gulf production and export infrastructure may be capable of returning relatively quickly, the availability of suitable tonnage is likely to remain constrained. A substantial share of the global VLGC fleet has repositioned towards the Atlantic Basin over recent months, while the limited number of vessels currently positioned around the Gulf are primarily Indian-flagged or sanction-exposed ships. Mainstream tonnage is therefore unlikely to return immediately, as market participants will seek evidence of sustained safe passage before fully re-entering the region.

As a result, a reopening of the SOH may initially prove supportive rather than detrimental for freight markets. Limited vessel availability, elevated war-risk insurance premiums and uneven owner participation are likely to keep a firm floor

under freight rates during the normalization phase. Although the return of Middle Eastern barrels would be expected to reduce reliance on long-haul U.S. exports and narrow arbitrage economics, a lower arbitrage does not necessarily translate into materially weaker freight markets. The operational inefficiencies that have developed throughout 2026, including longer voyage distances and tighter vessel availability, are unlikely to disappear overnight.

The potential easing of sanctions on Iranian energy exports represents another important variable. A temporary waiver allowing Iranian LPG exports could facilitate a more visible return of Iranian cargoes into mainstream trade flows and add incremental supply to the market. However, the longer-term significance of this development will depend entirely on whether a final agreement is reached and maintained. Until greater clarity emerges, many buyers are likely to remain cautious when committing to Iranian barrels, limiting the immediate impact on global trade patterns.

Consequently, while the market appears to be moving towards a less disruptive environment than the one experienced during the first half of the year, uncertainty remains elevated. The second quarter demonstrated that geopolitical disruptions do not necessarily destroy demand but rather reshape trade flows. As long as U.S. export growth remains strong, Asian demand continues to recover, and voyage inefficiencies persist, the VLGC market should remain well supported through the remainder of 2026. The longer-term challenge, however, will increasingly shift towards the industry's ability to absorb a rapidly expanding fleet from 2027 onwards.



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